an ideal head-and-shoulders because the two shoulders don't bottom at the same price).

At peak D, price gaps lower (breakaway gap) as if it can wait to reach grandma's house at E. The stock bottoms at E, which is just above the launch price (A). Notice that in this example, the rise from A to B is similar to the drop from D to E. That behavior rarely happens, so consider this a textbook example.

Appearance. Look for two peaks that top out near the same price. The two peaks likely won't share the exact same price, but they should be close. Use your best judgment and be flexible. If the right peak is higher than the left, performance improves but only by a percentage point. Oddly, performance is best if both peaks share the same price.

Table 6.1 Identification Guidelines

Characteristic	**Discussion**
Appearance	Two peaks near the same price form a pattern that resembles an M. The price trend approaching the first peak should move upward at a good clip, with few or no pauses along the way. Be flexible, though.
Price trend	Price rises into the first top, often a multiple of the big M's height. See text for guidance.
Volume	Trends downward from peak to peak.
Breakout direction, confirmation	Downward. A breakout occurs when price closes below the valley between the two peaks. It confirms the pattern as a valid big M.
Duration	No minimum is set, but the median time between the two peaks is about a month.